Teacher Compensation: Facilitator Guide

Business Academy Group Learning · Teacher Compensation · March 2027

Session at a glance

In 60 minutes, providers learn to look at total compensation, understand the cost of turnover, and use the Budgeting Tool to test a raise or benefit before committing to it.

Item	Detail
Month	March 2027
Audience	Business Academy providers, center-based and home-based
Length	60 minutes
Format	[In person / virtual]
Materials	Sample salary scale, sample turnover cost worksheet, calculators, printed Tips and Tricks sheet and Provider Handout
Ask providers to bring	Their Budgeting Tool and current staff pay rates (kept private); home-based providers can bring their own pay goal

Learning goals

By the end, each provider can:

1. Describe total compensation beyond hourly pay.
2. Estimate what turnover costs their program.
3. Test a pay or benefit change in the Budgeting Tool.
4. Identify one step toward more competitive compensation.

Agenda

Time	Segment
0:00 – 0:05	Welcome and opener: “Why did your best teacher stay (or leave)?”
0:05 – 0:15	Why compensation matters: quality, retention, and cost of turnover
0:15 – 0:30	Total compensation, pay scales, and testing changes
0:30 – 0:45	Activity: Price a raise in your Budgeting Tool
0:45 – 0:55	Implementation: your 30-day plan and one commitment
0:55 – 1:00	Takeaways and wrap-up

Why teacher compensation matters

Opener, “Why did your best teacher stay (or leave)?”: Ask providers to share one reason a great teacher stayed or left. Group the answers: pay, benefits, schedule, respect, growth, working conditions.

Talking points:

- **Teachers are the program.** Quality care depends on skilled, consistent teachers that children and families know.

- **Turnover is expensive.** Recruiting, hiring, training, and covering an open position costs money and disrupts children.
- **Pay is part of a bigger picture.** Benefits, paid planning time, predictable schedules, and respect all count.
- **The budget tells you what's possible.** The Budgeting Tool lets you test a raise before you promise one.
- **Home-based providers are teachers too.** Paying yourself a fair wage is part of a sustainable program.

Core content: building competitive compensation

What counts as total compensation

Part	Examples
Wages	Hourly pay or salary, raises, bonuses
Benefits	Health coverage or stipends, retirement contributions, child care discounts
Paid time	Paid time off, paid holidays, paid planning and break time
Growth	Paid training, credential support, a clear path to higher pay
Working conditions	Predictable schedules, reasonable ratios, recognition, a voice in decisions

Estimating the cost of turnover

Walk through a simple worksheet: advertising and recruiting time, interview time, background checks and onboarding, training hours, overtime or substitutes while the position is open, and lost enrollment if families leave. Most providers find the total is higher than they expected.

A simple pay scale

A pay scale sets starting pay by role and education, with planned steps for years of experience or new credentials. It makes pay fair, easier to explain, and easier to budget.

Funding ideas to explore

- Review tuition against cost per child; underpriced tuition often limits pay.
- Ask about state teacher incentive and recognition programs, grants, and wage supplements (check with VDOE and your Business Specialist for current options).
- Look at shared services, such as group purchasing of benefits through the VSSN platform.
- Consider non-wage benefits that cost little but matter, such as paid planning time or a child care discount.

Implementation: your 30-day plan

Each provider leaves with one commitment and a 4-week plan; the Business Specialist checks progress at the next coaching session. Progress here also counts toward the pilot goal of at least one new or improved business practice per provider.

Week	Action	Done when
Week 1	List every staff role with current pay and benefits (or your own pay, if home-based).	Current compensation is written down
Week 2	Estimate the cost of your last turnover using the worksheet.	Turnover cost is known
Week 3	Test one raise or benefit in a copy of your Budgeting Tool.	Scenario is saved
Week 4	Choose one step: a draft pay scale, a small raise, or a new non-wage benefit.	One step is decided

Tie-in to coaching

At the next individual coaching session, the Business Specialist will:

- ☐ Review the compensation list and turnover estimate
- ☐ Look at the raise or benefit scenario together
- ☐ Discuss funding ideas and how to pay for the chosen step
- ☐ Note any business practice change in the provider's progress record

Commitment card

Have providers fill this in before they leave and keep a copy:

- My last turnover cost about: _____
- The raise or benefit I tested: _____
- The one step I will take: _____
- I'll review compensation again on: _____

Key takeaways

Close the session by reading these aloud; they also appear on the Provider Handout.

1. **Think total compensation.** Pay, benefits, time, growth, and working conditions all count.
2. **Turnover costs more than you think.** Keeping good teachers usually saves money.
3. **Test before you promise.** Use the Budgeting Tool to price a raise first.
4. **Make pay fair and clear.** A simple pay scale helps with hiring, raises, and budgeting.
5. **Pay yourself too.** A sustainable program includes a fair wage for the owner.

Activities and discussion

Activity: Price a raise in your Budgeting Tool (15 minutes)

Each provider tests one change: a $1/hour raise for one role, five paid days off, or a monthly benefit stipend. They note the new annual cost and what would have to change (tuition, enrollment, or another expense) to cover it. Pairs share one finding.

Discussion questions

- What keeps your best teachers with you?
- What would you offer staff if money weren’t a barrier?
- Which low-cost benefits have made a difference for your team?
- How do you decide when someone gets a raise?

Peer Connections prompt (March)

“How are you recruiting and keeping staff?” Providers share one recruiting source that worked and one thing they do to keep good teachers. Home-based providers share how they make time for rest and their own development.

Handouts for this session

Walk through the **Teacher Compensation Tips and Tricks** sheet during the content segment, and give out the **Teacher Compensation Provider Handout** at the end.